



THE SUMMER BEGAN early in 2022. That March was the hottest on record. That sparked a huge jump in power consumption as people relied on their ACs and coolers to beat the heat wave. That meant a higher demand for coal to feed India's thermal power plants, which account for over 70% of the country's power generation.

The jump in demand led to a surge in rail traffic, sparking delays. In fact, the Indian Railways had to cancel over 1,000 passenger trains to facilitate the quick delivery of coal to power plants.

Such instances are set to be a thing of the past, all thanks to the Eastern Dedicated Freight Corridor (DFC). This 1,337-km dedicated rail route for coal movement connects Son Nagar in Bihar to Ludhiana in Punjab, intersecting central, eastern, and northern coalfields and feeding coal to over two dozen thermal plants in the North. Most importantly, it is expected to cut the transit time from coal mines in the East to power plants in the North by 24 hours on average.

"The days of blackouts due to coal shortages because of the inefficiency of Indian Railways are over," Nanduri Srinivas, former Director of Operations and Business Development of the Dedicated Freight Corridor Corporation of India Ltd (DFCCIL), tells *BT*. "Some of the power plants in the North have cut down on coal reserve stocking, which has helped in releasing the required operational capital as coal is reaching faster due to the eastern DFC," adds Srinivas, who retired on December 31, 2023.

The western arm of the DFC, which spans 1,506 km and connects Dadri in Haryana with Mumbai, has reduced the transit time of export and import (EXIM) traffic by almost 50%. This section allowing double stacking of containers—on the Indian Railways routes only single containers are loaded on trains—provides connectivity between the country's major ports, like Mundra and Pipavav in Gujarat, and the northern hinterlands. The section connecting Jawaharlal Nehru Port (JNPT), Mumbai, is likely to be commissioned by the end of 2024.

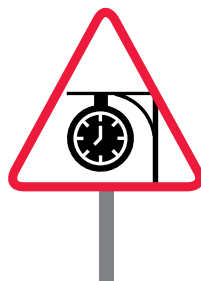
Once all the pieces are in place, the DFC—which was born in 2006 with the incorporation of the In-

CORRIDORS OF TRANSFORMATION



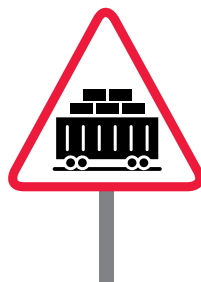
GAME CHANGER:

The DFCs can bring a paradigm change for logistics movement, as they offer a more reliable means to carry more freight



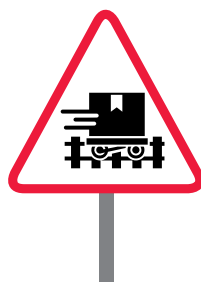
TIME IS OF THE ESSENCE:

The Railways is looking to cut down freight transit time drastically with the DFCs



REVERSING THE TREND:

The Railways is looking to increase its share in freight traffic to 45% by 2050 from 26% now



THIS IS THE WAY:

The DFCCIL is looking to add non-traditional freight, especially small parcels and e-commerce goods, to increase revenue



GETTING THE PRICE RIGHT:

But it needs to rationalise tariff to make it competitive vis-à-vis road to attract more players